

FIBSDONTLIE
DAY TRADING COURSE

Tide Shift Pattern

**The Easiest
Way to Trade!**

**A High Probability
Strategy with an
IDEAL Risk/Reward**

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WHAT MARKET IS RIGHT FOR YOU?

Have you ever heard of someone mentioning that they have invested or know someone that invested in the stock market?

There is a big misconception in regards to investments and ways on how to trade the global markets.

You have the **position traders** who hold trades for months or years at a time. Looking at the bigger picture, they will enter with smaller capital in order to sustain the brutal volatility that can unfold.

The **swing traders** who hold positions from two days up to a week in order to capture a complete move while trading with a fairly bigger position size.

And the **intraday traders** or **scalpers** who capitalize on sharp moves that occur on a daily basis, by protecting their exposure to the highest degree. I, am an intraday trader and I wouldn't have it any other way.

During the day, we analyze the charts and ride the trend for a short period of time and end the day in cash. Meaning, with no positions open. This allows you to sleep at night with zero worries and gives you an idea of your weekly, monthly and annual returns. These numbers are measured by your average daily win rate.

Now, aside from the type of traders, we have different types of markets. This is where the misconception lies. Most of us have only been informed about the stock market and not the vast majority of ways to trade.

The stock market being the one where we need the most capital in order to day trade. Most brokers have a PDT rule or a requirement of \$25,000 in order to buy/sell within a 24 hour cycle. This makes it very difficult for the average person to get a jump start on his or her career as a trader.

We also have the futures and commodities market that require a lot less capital in order to day trade with no PDT rule. By trading the cheapest commodity, it will allow you to day trade with a balance of just about \$900. Big difference from \$25,000 huh? This is why I believe we should all be well informed of our options.

Then we have forex! Yes, my favorite market. An account can be funded with as little as \$100 (with most brokers) and you can also trade with leverage. This puts the odds on your favor if you are approaching your trades with a solid strategy that will give you an edge. It is important to mention that most forex brokers will also allow you to trade indices and crypto, which are other market instruments or asset classes. Like I mentioned earlier, there are a vast amount of ways to trade.

In conclusion, there is no market instrument that is better than the next. Everyone can effectively trade any of them with the Tide Shift Pattern or with any of the strategies I go over in my courses. It is up to you to determine what will suit your needs.

STRATEGIES

Beginners who are interested in trading will Youtube or Google setups and they will receive information on the most common ones. Head and shoulders, double tops/bottoms, pennants, breakouts, etc. What everyone fails to mention is that it must be used with a confirmed pattern. You cannot simply use these patterns without verification of some sort. What will end up creating is a setup with a very low win rate ratio.

A good analogy would be like having a convertible in Alaska. Yes, you have a vehicle that allows you to enjoy the weather and the sun but you are in a location that does not allow you to enjoy neither. With trading, one situation should compliment the next. That would be the result of confluence.

A strategy alone does not suffice, and we have plenty of those on the internet.

In regards to books, they will offer outdated content since most of them were written a while back. The markets are always changing their personalities and characteristics and we must change with them.

It does not mean that strategies become obsolete, it means that a professional should always evaluate certain factors that re-enforce the win rate or does the opposite. That is the beauty of the markets and its cycles.

Trading books that I recommend are 'Trading In The Zone' by *Mark Douglas* and 'The Daily Trading Coach' by *Brett Steenbarger*. Books that strictly focus on psychology. That is a topic that will never change since humans all carry similar behaviors.

What we want to have is a strategy that is backed by a handful of factors that will increase the probability of the chart moving in your direction.

Market Structure

Identifying a market structure break or a strong move that makes a new higher high or lower low. This will point out the beginning of a potential new cycle. (Similar to A, B, C and D) or an (Elliot Wave).

Trend Direction

This will be predicted with our moving averages, the 14EMA, 50SMA and 200EMA. If you would like to have all three auto populate on your chart, search for 'FDL MA' in your tradingview.com platform.

Fractals

Once your market structure and trend direction align with your plan, move to a higher time frame, preferably 2 standard time frames higher than your current one. For example, if you are inspecting the market structure break on the 15 minute, you will move to the 1 hour in order to anticipate the trend direction.

Support and Resistance

Another energy or confluence method we also use is support and resistance and dynamic support and resistance.

Support and resistance are key levels where price will hesitate to cross or even reach. I call them magnetic areas. They can either attract or repel, depending on the circumstances. In all eventuality, the market is comprised of sharp moves bouncing off of them with a ping pong reaction. Our job, is to have solid confluence in order to capitalize on that next move.

Dynamic support and resistance does the same job but they are not static. It is gradually changing candle by candle since they are controlled by the touch of our moving averages.

Usually the higher the moving average, the stronger the rejection will be on price. This is the reason why we use the 50SMA as confluence with our entries and the 14EMA only for crosses. The 50SMA moves a lot slower than our exponential moving averages, causing the market to react to it in a more respectful manner.

WHAT IS THE TIDE SHIFT PATTERN?

The famous Tide Shift Pattern has become one of my best setups and also the one that a lot of my students like to trade. Disregard the fact that it will not occur on a daily basis, it will net you profits that will make up for not trading daily.

It is usually a compulsive move back to the 200EMA in efforts to stabilize price after a big down trend or up trend.

Do not confuse the setup as a trend reversal strategy. Those are very RISKY. We are speaking about a move in price that serves as a correction once confirmation is given that the trend is behind us.

This is one of the setups that will develop 2-3 times a week and can be easily identified while is setting up. The reason for the anticipation is because we trade them on the 1 hour and 4 hour, giving us plenty of time to see it. Due to the strength of that time frame, the move is usually well over 50-70 pips.

Since charts are fractals, it will definitely work on any time frame but we want to use the chart that will cater to day traders, being in and out of the market the same day.

If taken on a smaller time frame the impact will not be of great significance. Also, the smaller the time frame, the smaller the strength of any setup.

HOW DOES IT WORK?

In example, upon the market making higher highs for a period of time and becoming very separated from all three indicators, we can start to see a double top or head and shoulders for the most part, at some point. We will patiently wait for exhaustion in that direction and for the 14EMA and 50SMA to become FLAT and finally cross. This will be identified on the 1 hour or 4 hour time frame as a signal to enter on a Bearish Tide Shift.

Now, we move over to the 15 minute and look at the market structure, which we had discussed, and seek an entry on a retracement that is in confluence with a resistance area. Either resistance or dynamic resistance. Preferably both.



Once price has reached the 200EMA, the trend will usually continue to move in favor, aiming at the previous lows in that area.

There are a set of rules that go with the setup:

1. The Tide Shift is considered complete upon the touch of the 200EMA.
2. Avoid taking the setup if it has already tested the 200EMA. (It can be forming a double bottom or triple bottom in that zone, if we had taken a Bearish Tide Shift).

3. Make sure the moving averages are FLAT before crossing!
4. Wait for the retracement before entering. (Using fib levels).

I use the fibonacci retracement tool in order to enter on a perfect retracement zone together with confluence with a resistance area, ideally.

The retracement zone I use is .382, .62, .705 and .79.

(The example above is using a Bearish Tide Shift scenario. The setup applies to both long and short positions).

I will provide a couple more examples on the **Bearish Tide Shift**.



These examples below are **Bullish Tide Shift** setups



RISK/REWARD

I couldn't continue speaking about trading and setups without mentioning the most important part. Risk management.

In essence, the majority of the time we will have at least a 4:1 risk/reward with the Tide Shift, due to the strength of its nature.

It is safe to say that is one of the very few setups that will keep the risk out of your account if you take partial profit at the touch of the 200EMA and move your stop to break even on the remaining positions.

On my Main Fibsdontlie course, I go over this topic with more details since it is a lengthy subject.

Since you found interest in my ebook, I will offer you a 20% OFF promo code for the course. Promo code: **LEARN19**

You can find all the information on my site
fibsdontlie.getlearnworlds.com

TESTING IT OUT!

In order to move forward and test out the strategy, I would recommend you to back test it with tradingview.com. They have a feature that allows you to go back in time and replay the market in real time.

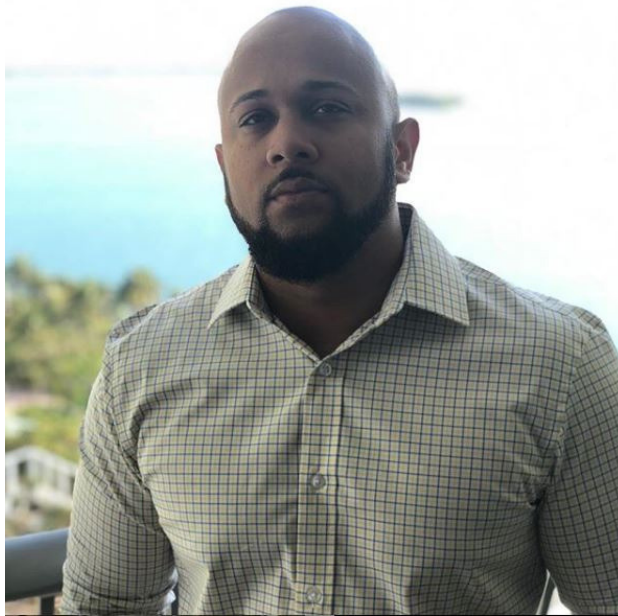
There are also other options like forexsimulator.org. However, this platform is only compatible with Windows.

A third option is forexthrive.com as well as certain brokers that come with back testing features embedded.

Practice the setup daily and go back as far as 6 months to a few years verifying all the details of it and when the probability is on your favor the most. For example, days of the week that occur most often or time of the month. All this compiled data can only give you more confidence on your journey as a master of one strategy.

"I fear not the man who has practiced 10,000 kicks once, but I fear the man who has practiced one kick 10,000 times". - Bruce Lee

AUTHOR



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Diligent day trader and Investor with 5+ years of experience trading a variety of market instruments. After experimenting with almost all patterns and indicators available, found a consistent setup with 90% accuracy. Now trading only the forex market, goes by a strict set of rules that are laid out in the course along with his strategy.